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Market Briefs **Pro**

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Good morning, Pro Briefers!

As of February 5th, 2026, the Nasdaq is down around 3% year to date.

Reminder: The Nasdaq is filled with primarily tech stocks.

And what do these tech stocks have in common? Many are investing heavily in AI.

For instance - Alphabet, the owner of Google, announced its capital expenditures (CapEx) are expected to reach \$185 billion this year, nearly double what it previously projected.

- CapEx includes spending on property and equipment - such as data centers and chip factories for AI companies.

Flashback: for the last few years, markets were racing to predict "the next big thing" in AI.

Every company with AI in their name saw their stock soar, regardless of whether they were actually making money.

Flashforward: *The AI party may be cooling down.*

We've been discussing this for a while in our [Market Briefs Pro reports](#) - so this shift away from potentially overvalued AI stocks is nothing new.

And we're not saying if we are or are not in an AI bubble that's about to pop, but the fear of one is real enough to move money.

- In the early phases of a bubble, money flows into anything and everything related to the trend.

But as the bubble matures, investors get nervous. They start separating real businesses from hype.

Many of these companies are demand proof - meaning they have a solid business that usually does not rely on hype.

Right now smart money is starting to move into these businesses - and it's where we've identified a Wall Street Shift:

Capital is rotating away from speculative AI plays and into profitable companies with hard assets and steady revenue - specifically, the energy companies that power AI data centers.

To be clear: The market is not abandoning AI. But, it is getting pickier on which stocks receive the most capital.

And right now, the companies selling the electricity that makes AI possible look a lot more attractive to some investors than the companies promising AI breakthroughs that may or may not materialize.

Let's break down some of these potential opportunities and why investors may want to keep their eye on this shift.

ANALYST TAKE

Tickers we're tracking:

Large-cap Utility: NEE

Nuclear Powerhouse: CEG

MARKET SHIFT

The New Rules of AI Investing

Let's break into this shift even deeper so you understand it at a fundamental level.

Speaking of fundamentals: Wall Street has entered what we're calling the "fundamentals phase" of AI investing.

Now, investors are asking three specific questions before moving capital:

1. Who has strong earnings per share (EPS)? - Are they actually profitable right now?

EPS shows profit per share of stock. A growing EPS means the company is getting more profitable over time.

Companies with negative or shrinking EPS are burning cash, and investors are losing patience.

2. Who has a backlog and floating capital? - Do they have signed contracts and cash on hand?

A backlog means steady future revenue - contracts already signed - money already

...meaning means steady, stable revenue - consistent energy, energy, money, energy, promised.

Floating capital means cash available to invest or weather storms. Companies with both are in the best position.

3. Who is using their cash wisely? - Are they investing in sustainable growth?

The companies that weather the most storms typically use money effectively.

Every dollar spent generates more than a dollar in future value. In energy, that means investing in infrastructure that will power data centers for decades.

Right now, companies that can't answer these questions are struggling.

Energy is needed for AI - so it's literally also powering the future of AI infrastructure like data centers.

Two companies stand out in this space: NextEra Energy (NEE) and Constellation Energy (CEG) - let's break down each potential opportunity next.

LARGE-CAP UTILITY

Energy + Real Estate

NextEra Energy is one of the largest electric power companies in the United States.

The company has two major parts: The first, is Florida Power & Light, which provides electricity to millions of homes and businesses.

That's their consumer-facing business, and as of now, it's reliable and profitable for the NextEra.

Its subsidiary is what has some investors excited right now: NextEra Energy Resources.

This gives them direct access to the U.S. power grid - meaning they're not just generating energy, they're controlling how it gets distributed.

- Its access to the grid involves large battery centers that connect via power lines to the grid.

The play here is not necessarily the energy itself - it's the real estate.

NextEra Energy Operational Highlights in 2025

NexEra Energy had strong operational and financial performance at both FPL and Energy Resources in 2025



Achieved adjusted EPS of \$3.71, up more than 8% from prior year, above the top end of the range



Received approval for FPL's 2025 rate agreement, including a large load tariff



Record year of new generation and storage origination at Energy Resources



Successfully executed on our capital plan while maintaining our strong balance sheet and credit ratings



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Data [via](#) NextEra Investor Presentation

Remember the shift we mentioned earlier: Money is flowing into companies with hard assets, so physical assets that have tangible value.

NextEra not only has the energy side, which will be necessary as AI scales, it also owns the land.

Investors are also looking at profitable companies within this shift, too.

NextEra also checks this box.

The company's EPS grew by over 8% in 2025, finishing at \$3.71 per share.

NextEra Energy EPS Summary - Fourth Quarter and Full Year

GAAP	Q4 2024	Q4 2025	Change	2024	2025	Change
FPL	\$0.41	\$0.46	\$0.05	\$2.21	\$2.42	\$0.21
NextEra Energy Resources	(\$0.21)	\$0.26	\$0.47	\$1.12	\$1.44	\$0.32
Corporate and Other	\$0.38	\$0.01	(\$0.37)	\$0.04	(\$0.56)	(\$0.60)
Total	\$0.58	\$0.73	\$0.15	\$3.37	\$3.30	(\$0.07)

Adjusted	Q4 2024	Q4 2025	Change	2024	2025	Change
FPL	\$0.41	\$0.46	\$0.05	\$2.21	\$2.42	\$0.21
NextEra Energy Resources	\$0.22	\$0.20	(\$0.02)	\$1.51	\$1.70	\$0.19
Corporate and Other	(\$0.10)	(\$0.12)	(\$0.02)	(\$0.29)	(\$0.41)	(\$0.12)
Total	\$0.53	\$0.54	\$0.01	\$3.43	\$3.71	\$0.28

Its revenue also increased by roughly 10% during the same year.

In short - NextEra is already a company that is winning, not a promise that it *may* win someday.

Plus, in January 2026, its Florida Power & Light utility secured a four-year regulatory agreement.

That's steady revenue with very little risk.

But it goes deeper. NextEra doesn't sign short-term deals. They lock in decades-long contracts.

Here's just a few it has signed over the last year:

- A 25-year agreement with Google to supply power from the Duane Arnold nuclear facility in Iowa.
- A 25-year solar agreement with United Power.

It also signed a multi-year energy storage contract with California back in 2023.

NextEra Energy Resources Development Program							
	2026-2027 Backlog	2026-2027 Expectations	2028-2029 Backlog	2028-2029 Expectations	2030-2032 Backlog	2030-2032 Expectations	2026-2032 Backlog
Wind	3.1	3.5 - 5.5	1.6	3.0 - 5.0	0.6	2.0 - 4.0	8.5 - 14.5
Solar	9.2	8.5 - 11.5	5.0	11.0 - 15.0	0.0	12.0 - 15.0	31.5 - 41.5
Energy Storage	6.8	8.0 - 10.0	3.0	10.0 - 14.0	0.0	14.0 - 19.0	32.0 - 43.0

Gas Generation	0.0	0.0	0.0	0.0	0.0	4.0 - 8.0	4.0 - 8.0
Nuclear	0.0	0.0	0.6	0.6	0.0	0.0	0.6
Total	19.0	20.0-27.0	10.2	24.6-34.6	0.6	32.0-46.0	76.6 - 107.6

Energy Resources backlog stands at ~29.8 GW

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Data [via](#) NextEra Investor Presentation

And in Q4 of 2025 alone, NextEra added 13.5 gigawatts to their energy backlog of signed contracts to build and produce this energy.

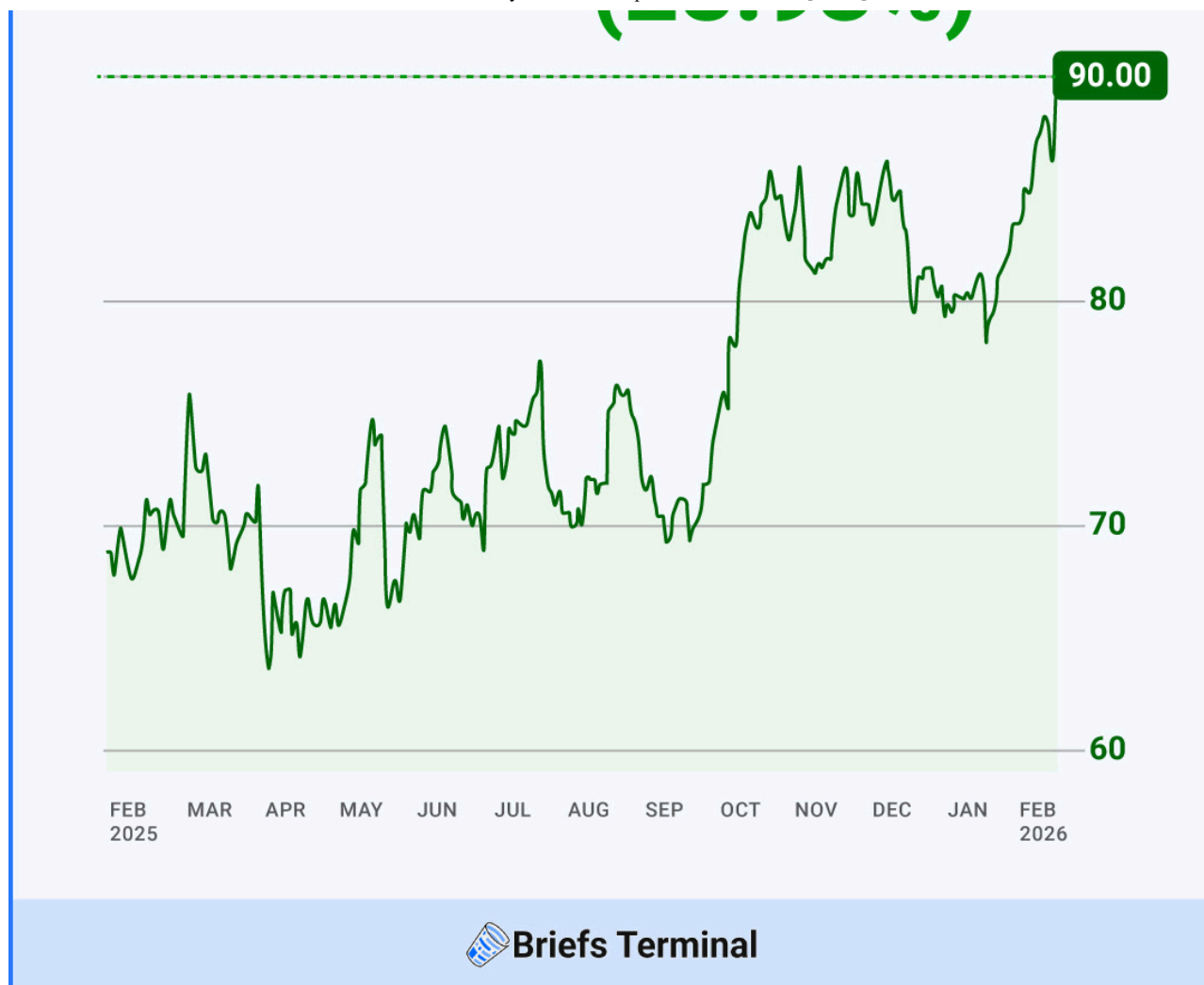
That means even if something goes wrong with their energy generation tomorrow, they have enough stored power to fulfill contracts for years.

Lastly, NextEra isn't just sitting on contracts. They're aggressively investing in new energy technologies - nuclear, solar, wind, and storage.

They're not making speculative bets with this tech, either.

When NextEra announces a new solar farm, they're building it because they already have a buyer lined up.





Data [via](#) Briefs Terminal

Shares of NextEra are up about 28% over the last 12 months.

And with their contract backlog to build new infrastructure extending decades into the future, the company shows no signs of slowing down, so investors will want to keep NextEra in mind for the long-term.

NUCLEAR POWERHOUSE

The Nuclear Option

Constellation Energy claims to be the largest private-sector power producer in the world.

They provide 55 gigawatts of capacity from nuclear, natural gas, and renewable sources. That's enough to power roughly 40 million homes.

- For context, there are approximately 85 million single family homes in the U.S.

CEG is also marketing themselves as the nation's largest provider of zero-carbon energy - which is becoming critical as tech companies face pressure to make their AI operations environmentally sustainable.

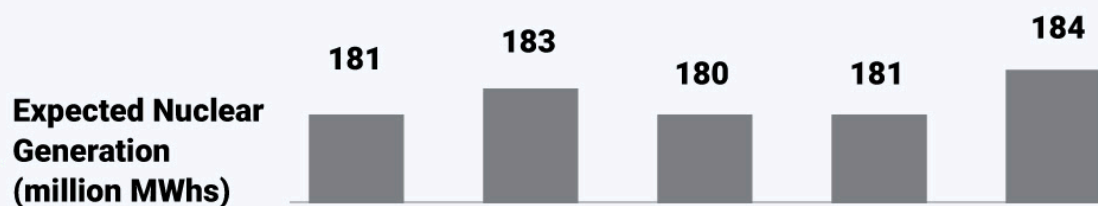
But how does CEG stack up?

Constellation's most recent quarterly EPS came in at \$3.04 per share.

Constellation Energy EPS growth on base earnings

Long-term growth rate of at least 10% from 2024-2028 but will vary from year to year

Factors	2024	2025	2026	2027	2028
PTC Step-Up (2% Inflation)	\$43.75	\$44.75	\$44.75	\$45.75	\$45.75
CMC Program	\$33.04	\$33.47	\$34.09	\$34.50 Roll off in May	n/a
Number of Planned Outages	15	12	15	15	12
CEG Outage Duration	Typical range	Typical range	Above typical range	Above typical range	Typical range



They had a slight miss on their last annual earnings report, but management reaffirmed their full-year guidance of \$9.06 per share.

Their next annual report releases February 17th, 2026 - investors will be watching to see if EPS continues to grow.

Here's the key: Constellation is still solidly profitable, despite the miss. They're not scrambling to cut costs or raise emergency capital.

In addition, Constellation has locked in some of the biggest energy deals in recent history:

- A 20-year agreement with Microsoft to restart Three Mile Island Unit 1 (now called the Crane Clean Energy Center).

This is the first time a U.S. nuclear plant has been restarted specifically to power AI infrastructure. Microsoft will be paying CEG for two decades under the deal.

- A 20-year agreement with Meta through the Clinton Clean Energy Center in Illinois.
- A 10-year contract with the U.S. government to power 80 federal facilities - the largest energy purchase in GSA history.

This backlog = steady revenue, which allows them to remain profitable even if there is an AI bubble and demand drops.

Constellation Energy Q3 2025 balance sheet

In Millions

ASSETS	September 30, 2025	December 31, 2024
Current assets		
Cash and cash equivalents	\$ 3,959	\$ 3,022
Restricted Cash and cash equivalents	132	107
Accounts receivable, net		
Customer accounts receivable (net of allowance for credit losses of \$190 as of September 30, 2025 and December 31, 2024)	3,168	3,116
Other accounts receivable (net of allowance for credit losses of \$8 and \$6 as of September 30, 2025 and December 31, 2024)	612	602

(respectively)		
Mark-to-market derivative assets	632	843
Inventories, net		
Natural gas, oil, and emission allowances	242	243
Materials and supplies	1,422	1,357
Renewable energy credits	786	797
Other	696	689
Total current assets	11,649	10,776
Property, plant, and equipment (net of accumulated depreciation and amortization of \$18,932 and \$18,088 as of September 30, 2025 December 31, 2024, respectively)	21,990	21,235
Deferred debits and other assets		
Nuclear decommissioning trust funds	18,985	17,305
Investments	427	640
Goodwill	420	420
Mark-to-market derivative assets	459	372
Other	2,231	2,178
Total deferred debits and other assets	22,522	20,915
Total assets	\$ 56,161	\$ 52,926


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Data [via](#) Constellation's Investor Presentation

- CEG is also sitting on nearly \$4 billion in cash, which allows them to expand their CapEx, acquire other companies, or return that money to shareholders.

Speaking of acquiring - In January 2026, they closed on their acquisition of Calpine, a private company, which management expects will bring their total liquidity to around \$14 billion.

- Calpine is the largest generator of electricity from natural gas and geothermal energy in the United States.

They also negotiated a Department of Energy loan for over \$1 billion to help fund the Three Mile Island restart - preserving their own liquidity for other investments.

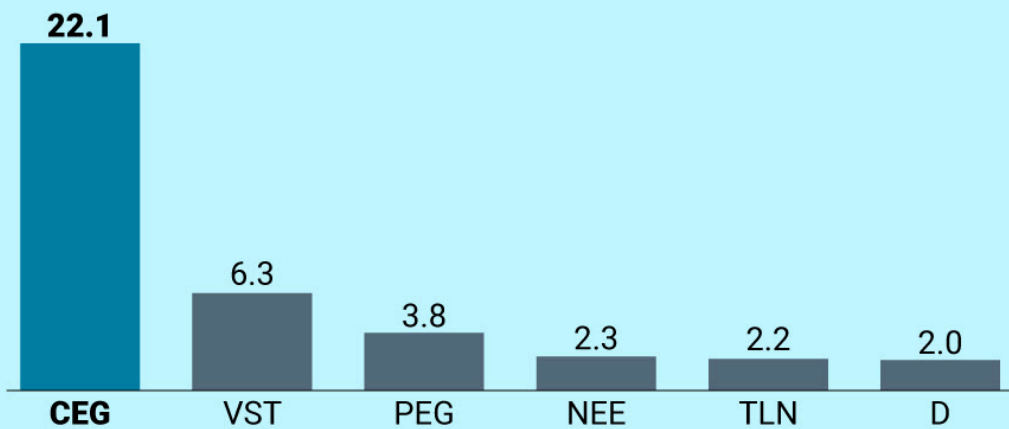
All of this seems to answer all of the questions we laid about before well - strong EPS, use of capital, and large floating capital.

Yet despite all these positives, Constellation's stock fell about 9.4% over the past 12 months.

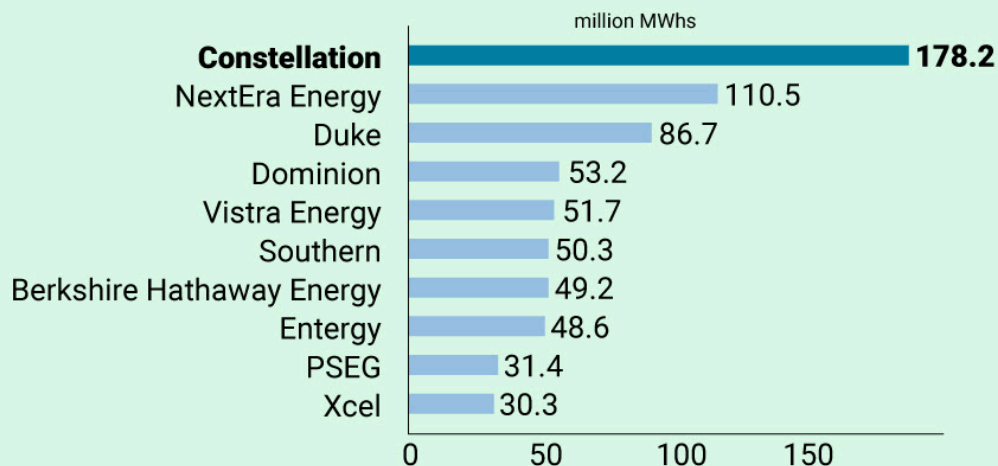
So what's going on?

Power generation by company (as of 2023)

Competitive Nuclear Generation Capacity (GWs)



Largest Producers of Carbon-Free Generation



In late 2025, grid operators and state governments began implementing price caps to protect residential users from soaring energy costs caused by AI demand.

That hurt Constellation's ability to make money.

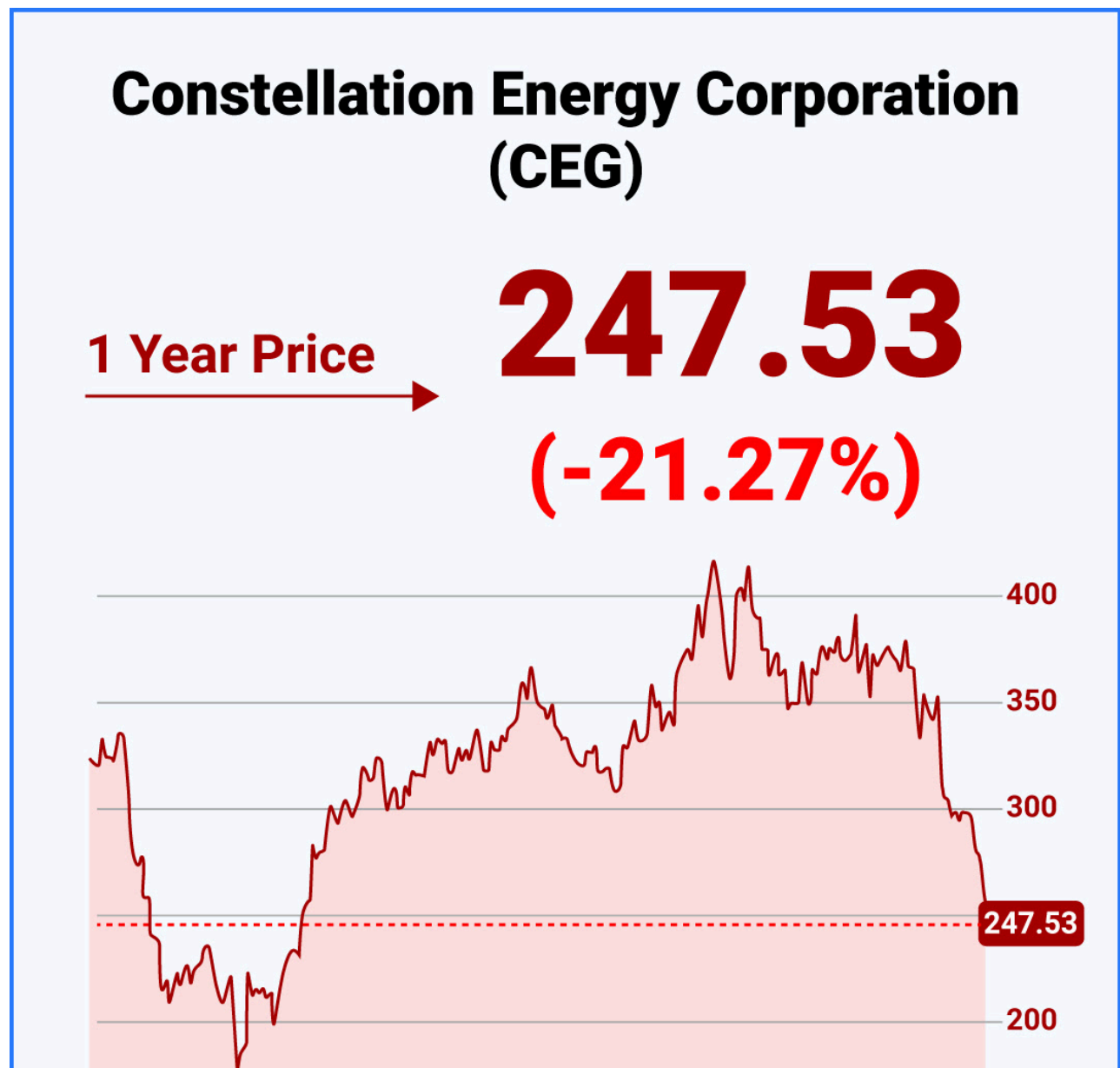
But here's the thing - this looks like a short-term reaction to headlines, not a fundamental problem.

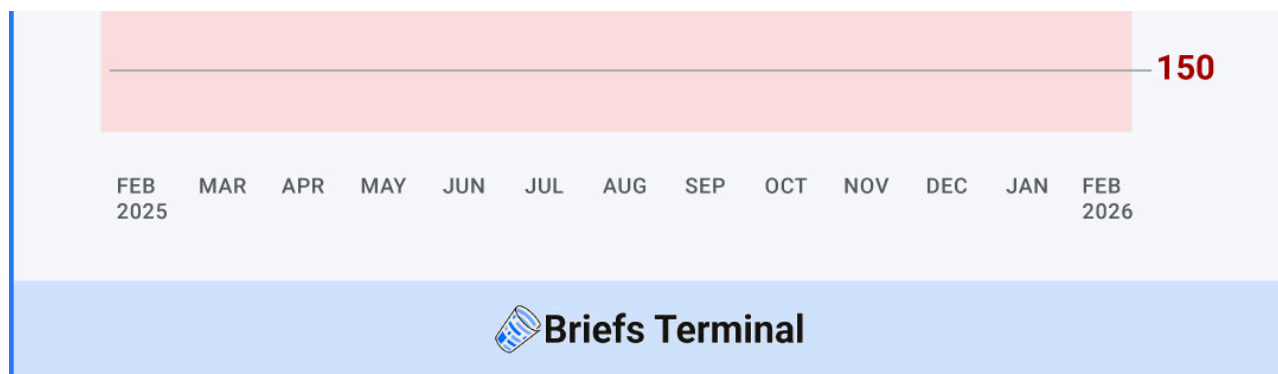
Why? Demand for their power isn't going away. Hyperscalers in AI like Microsoft and Meta still need electricity.

Our take: At worst, it's a temporary set back. At best, it's a potential opportunity for investors that is undervalued right now.

If the regulatory environment stabilizes, Constellation could grow in value.

And, Constellation still has more capacity than any of their competitors, including NextEra - that makes it a force to be reckoned with as long-term AI power demand heats up.





Data [via](#) Briefs Terminal

RISKS

How This Shift Could Change

Energy companies that power AI face a new challenge: water.

Water helps cool many data centers - and they use just as much water as they do energy.

These are precious resources, and communities are starting to push back.

In late 2025, several high-profile data center projects were blocked or delayed:

- In August 2025, Amazon's Project Blue was unanimously rejected by the Tucson City Council citing water concerns.
- In December 2025, Chandler's City Council in Arizona rejected a 422,000 square-foot AI data center allocation, with water usage the chief concern.
- In April, 2025, the state of Georgia paused all reviews on new data centers, citing water issues.

The bottom line: Fears over water usage at data centers could significantly slow AI expansion - and hurt the energy companies counting on that growth.

We also cited regulatory issues before - while we believe they will improve over time, there's no guarantee of that happening.

Both NextEra and Constellation are tied to utilities and consumer power, so they're subject to government regulation.

As we saw with Constellation's price cap situation, regulatory changes can compress margins quickly.

If energy prices continue to rise due to AI demand, more states may implement similar caps.

That again hurts the opportunities that can benefit from this shift and something investors will want to keep in mind.

Lastly, changes in technology or new innovations could impact the opportunities in this shift.

If cheaper or more effective tech that makes electricity easier to access, then it's possible NextEra and Constellation will need to adapt.

REVIEW

The AI Revolution's Next Phase?

The AI gold rush is evolving.

Investors don't want promises, they want actual profits.

In this economic and market environment, that means promises of growth are not enough anymore.

Backlogs of orders, tangible assets, and good capital management is what is winning over investors now.

At the same time: The AI revolution isn't slowing down.

Data centers are still being built, AI models are still getting more power-hungry, and the demand for electricity is only going up.

But the way investors profit from that growth is changing.

Smart money is moving away from the hype and toward hard assets - which means this is an opportunity that may be just getting started.



- Market Briefs Pro Team

*The Market Briefs Pro team often invests in the same stocks and assets we cover.

Why? Because we believe in practicing what we preach (and preaching what we practice).

But keep in mind: We're not financial advisors. Everything we provide is for education. You've got to do your own due diligence and think about what makes sense for your own financial situation. Investing has risks.

You are never guaranteed to make money when you invest, you might even lose money. If you're looking for personalized financial advice, we highly recommend speaking with a licensed financial advisor.

Our mission? It's simple - to help you be better with money.

Included interviews have been edited for length and clarity.